

BEACON PLAZA

Charlotte, NC | Suburban / Multi-Tenant Office

Investment / Sales Offering Memorandum — REVISION v2

Reflecting revised certified roll as of 2026-09-01

Property	Beacon Plaza
Market	Charlotte, NC
Asset type	Office (multi-suite)
Total rentable area	66,360 SF (12 suites)
Evaluation date	September 1, 2026
Physical occupancy	83.33% units / 83.11% area (10 of 12 active)
Underwritten NOI (before reserves)	\$1,044,193
Underwritten NCF (after reserves)	\$1,040,593
Concluded valuation (NOI ÷ 7.75% cap)	\$13,473,457
Maximum sized loan	\$8,084,074 (LTV-bound; 7.50% sizing rate)
Net cash-out (after payoff & costs)	+\$1,458,233
Asking price	Not supplied
Photos / market comps / sponsor history	Not supplied

Source-backed analysis. Assumptions remain subject to diligence.

Original fictional evaluation material — no real transaction.

Revision Log — v1 → v2

This memorandum is Revision 2 and incorporates the revision notice and revised certified rent roll dated September 1, 2026. The prior version (v1) is preserved separately in the audit archive and is not replaced. All unaffected facts are carried forward verbatim, including the approved copy above.

Item	v1 (2026-08-31)	v2 (2026-09-01)	Source
Certified rent roll as-of	2026-08-31	2026-09-01 (supersedes)	revision-notice.pdf
Suite 010 possession	pending	active	rent-roll-revised.xlsx
Suite 010 monthly rent	\$11,050	\$11,275 (+\$225)	revision-notice.pdf; revised roll
Cap rate	7.50%	7.75% (+25 bps)	revision-notice.pdf
Initial sizing rate	6.75%	7.50% (+75 bps)	revision-notice.pdf (note rate lifted)
Suite 001 amendment	applies	still applies (preserved)	revision-notice.pdf
Existing payoff	\$6,500,000	\$6,500,000 (unchanged)	revision-notice.pdf
All other UW rules	as instructed	unchanged	underwriting-instructions.pdf

Downstream impacts on the reconciled underwriting:

- **Gross potential rent:** \$1,615,200 → \$1,620,600 (+\$5,400) — Suite 010 monthly of \$11,275 replaces \$11,050 in the new roll ×12.
- **UW EGI:** \$1,538,640 → \$1,543,770 (+\$5,130).
- **UW NOI (before reserves):** \$1,039,217 → \$1,044,193 (+\$4,976).
- **UW NCF (after reserves):** \$1,035,617 → \$1,040,593 (+\$4,976).
- **Capitalization value:** \$13,856,224 → \$13,473,457 (–\$382,767) — higher NOI more than offset by +25 bps cap.
- **Maximum loan:** \$8,313,734 → \$8,084,074 (–\$229,660) — LTV-bound; sizing rate (7.50%) still not binding via DSCR/DY.
- **Net cash-out:** +\$1,685,597 → +\$1,458,233 (–\$227,364) — still positive; no additional sponsor equity required.
- **Physical occupancy:** 9/12 (75.00%) → 10/12 (83.33% units; 83.11% area) — the manager's prior 10/12 headline now aligns with certified detail.
- **Sizing floor status:** still absent — new note rate 7.50% remains well above 6.00% floor.
- **Near-term rollover:** still Suite 001 only, expiring 2027-02-28.

1. Executive Summary (v2)

Beacon Plaza is a 12-suite (66,360 rentable SF) multi-tenant office property in Charlotte, NC. The revised certified rent roll dated September 1, 2026 supersedes the prior roll. Ten suites are now in physical possession (active) — Suite 010 has moved from pending to active with a \$225 rent increase to \$11,275 monthly — and two suites remain vacant. Physical occupancy is 83.33% on units and 83.11% on area.

Applying the prescribed underwriting to the revised roll: GPR \$1,620,600 (all-suite scheduled monthly on the new roll, Suite 001 pre-amendment, $\times 12$); UW EGI \$1,543,770; operating expenses \$499,577; UW NOI (before reserves) \$1,044,193; UW NCF (after reserves) \$1,040,593. Capitalized at the revised 7.75% cap on NOI: concluded valuation \$13,473,457.

Debt sized against 60% LTV / 1.25 $\times$ DSCR / 9.0% DY at the revised 7.50% sizing rate (30-year monthly amortization) yields a maximum loan of **\$8,084,074**, LTV-bound. Net cash-out after 1% origination, \$45,000 closing, and the \$6,500,000 payoff (unchanged) is **+\$1,458,233**. The transaction still does not require additional sponsor equity at these terms. Asking price, photos, market sales and rent comps, and sponsor history remain not supplied.

2. Property & Suite Mix (v2)

Group	Suite type	Suite count	SF per suite	Total SF	Active (occ.)	Pending	Vacant
A	Small	4	5,380	21,520	4	0	0
B	Standard	4	5,500	22,000	3	0	1
C	Large	4	5,710	22,840	3	0	1
Total		12		66,360	10	0	2

3. Lease & Occupancy Analysis (v2)

The revised certified roll shows 10 active suites (001–010) and 2 vacant (011, 012). Physical occupancy is 10 / 12 = 83.33% on units and 55,150 / 66,360 = 83.11% on area. Annual in-place contractual rent (active suites only, at revised certified rents) totals \$1,349,400.

Suite 001 remains the sole near-term rollover within the 12-month horizon from the revised evaluation date (on or before 2027-09-01), expiring 2027-02-28 at \$11,050 monthly on 5,380 SF. The prior executed Suite 001 amendments continue to apply per the revision notice. All other active leases expire 2029-08-31.

Suite	Type	Grp	SF	Status	Monthly rent	Expiration
001	Small	A	5,380	active	\$11,050	2027-02-28
002	Standard	B	5,500	active	\$11,200	2029-08-31
003	Large	C	5,710	active	\$11,475	2029-08-31
004	Small	A	5,380	active	\$11,050	2029-08-31
005	Standard	B	5,500	active	\$11,200	2029-08-31
006	Large	C	5,710	active	\$11,475	2029-08-31
007	Small	A	5,380	active	\$11,050	2029-08-31
008	Standard	B	5,500	active	\$11,200	2029-08-31
009	Large	C	5,710	active	\$11,475	2029-08-31
010	Small	A	5,380	active	\$11,275	2029-08-31

011	Standard	B	5,500	vacant	\$11,200	2029-08-31
012	Large	C	5,710	vacant	\$11,475	2029-08-31
Totals			66,360		\$135,050/mo	

Highlighted row: Suite 010 (now active at \$11,275, was pending at \$11,050).

4. Historical vs. Underwritten Financials (v2)

Historical T-12 (2025-09-01 to 2026-08-31) is unchanged: cash operating ledger with reported NOI \$1,003,656. Underwriting reflects the revised roll: EGI rises modestly on the Suite 010 rent bump, opex tracks EGI via the 3% management fee, and NOI/NCF adjust accordingly. Tax, insurance, other opex, and reserves are unchanged.

Line item	Historical T-12	Underwritten (v2)	Δ vs Hist
Rental & ancillary collections / UW EGI	\$1,456,920	\$1,543,770	+\$86,850
Real estate tax	(\$169,974)	(\$169,974)	\$0
Insurance expense	(\$56,658)	(\$56,658)	\$0
Other recurring opex	(\$226,632)	(\$226,632)	\$0
Roof replacement (capital)	\$0	\$0	\$0
Management fee (3% EGI — UW only)	—	(\$46,313)	(\$46,313)
NOI (before reserves)	\$1,003,656 (reported)	\$1,044,193	+\$40,537
Replacement reserves (\$300/unit — UW only)	—	(\$3,600)	(\$3,600)
NCF (after reserves)	—	\$1,040,593	

Reported historical NOI and underwritten NOI use different definitions — labeled distinctly per instruction.

5. Debt Sizing & Sources / Uses (v2)

Sizing rate is the greater of the revised note rate (7.50%) and the underwriting rate floor (6.00%). The 7.50% note binds; the floor is not binding. Amortization is 30 years, monthly. DSCR and debt yield are computed on NCF after reserves.

Constraint	Formula	Loan
LTV 60%	$60\% \times \$13,473,457$	\$8,084,074 ← binding
DSCR 1.25× on NCF	$\$1,040,593 \div (1.25 \times 0.0839057)$	\$9,921,542
Debt yield 9.0% on NCF	$\$1,040,593 \div 9.0\%$	\$11,562,143

Sources & Uses

Sources		Uses	
New loan	\$8,084,074	Existing loan payoff	\$6,500,000
		Origination fee (1%)	\$80,841
		Closing costs	\$45,000
		Net cash-out to sponsor	\$1,458,233
Total sources	\$8,084,074	Total uses	\$8,084,074

Net cash-out remains positive; no additional sponsor equity is required at these terms. Sizing metrics at the max loan: LTV 60.00%, DSCR 1.53× (NCF), Debt Yield 12.87% (NCF).

6. Risks & Pending Diligence (v2)

Risk	Status	Explanation (v2)
Pending suite counted as leased in manager headline	absent	Prior v1 issue is resolved by the revised roll: Suite 010 is now active. Manager headline (previously 10/12 including pending) now matches certified detail (10/12 active).
Near-term rollover (next 12 months)	present	Suite 001 expires 2027-02-28, within the 12-month horizon from 2026-09-01. Represents \$11,050 monthly / 5,380 SF.
Missing insurance	absent	Insurance policy declaration present (insurance.pdf): GL aggregate \$2,000,000; effective through 2027-06-30. Distinct from the annual insurance expense of \$56,658.
Capital expenditure classified in recurring opex	absent	Operating statement shows roof replacement at \$0 in repairs with explicit capital classification. Unchanged in v2.
Unsigned rent-change proposal affecting in-place rent	absent	No unsigned proposal in the packet. The Suite 010 rent increase is not a proposal — it is reflected in the revised certified roll and is authorized by the revision notice. Prior 001 amendments continue to apply. PM correspondence (2026-08-31) affirms no changes affect Suite 001.
Temporary free-rent concession understating in-place rent	absent	Lease-001: 'No free-rent concession applies as of the evaluation date.' No concessions supplied for other suites.
Sizing rate floor binding	absent	Revised note rate 7.50% exceeds 6.00% floor by 150 bps. Floor remains not binding.
Refinance shortfall (negative net cash-out)	absent	Net cash-out = +\$1,458,233 after payoff, origination, and closing. Down \$227,364 vs v1 but still positive; no additional sponsor equity required.

Pending Diligence (routine — unchanged)

Per the diligence-status memo, legal, environmental, property condition, and title reviews are routine pending. They are not findings of a defect. No evidence of contamination, litigation, fraud, or structural failure is supplied and none is asserted.

7. Source Notes (v2)

Source file	Content	Date / As-of
revision-notice.pdf	Applies new roll; +25 bps cap; +75 bps sizing rate; payoff unchanged; preserves 001 amendment and approved copy	2026-09-01
rent-roll-revised.xlsx	Revised certified roll — Suite 010 active at \$11,275; others unchanged	2026-09-01
rent-roll-certified.xlsx	Prior certified roll (v1 primary) — superseded, retained for audit	2026-08-31
rent-roll-archive.xlsx	Pre-Suite-001-amendment monthly (\$10,975) used in GPR	2026-06-30
lease-001.pdf	Executed lease excerpt — Suite 001, \$11,050 monthly, exp 2027-02-28, no free rent	—

lease-correspondence.pdf	PM confirmation — no amendments / new concessions affect Suite 001	2026-08-31
operating-statement.pdf	T-12 cash operating ledger, reported NOI \$1,003,656; roof capitalized	2025-09-01 → 2026-08-31
insurance.pdf	Policy declaration — GL aggregate \$2,000,000	Effective 2026-07-01 → 2027-06-30
underwriting-instructions.pdf	Base UW rules (all other rules unchanged per revision)	—
diligence-status.pdf	Routine pending diligence — no findings asserted	—
manager-cover.pdf	Property/market/asset; group mapping; approved copy; physical-occupancy convention	—

This memorandum uses only the sources listed above. No external research, market comps, sponsor history, asking price, or photographs are supplied; their absence is labeled rather than inferred. The prior version (v1) of this memorandum and the v1 workbook are preserved separately in the audit archive and are not replaced by this revision.

Original fictional evaluation material — no real transaction.